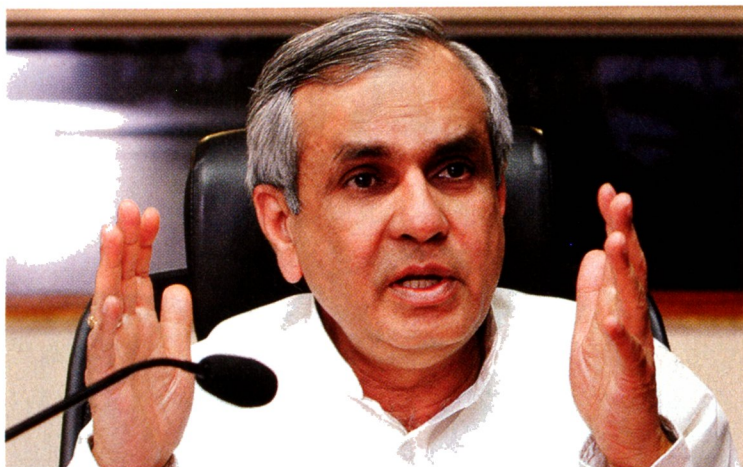




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We must allow investment in retail and fix the problem of the supply chain. It helps both farmers and consumers.

Demand side stimulus is like steroids. You feel good but they are for the short-term and there are side-effects.

rich consume. So which inflation is political and which is non-political? If it is food price inflation you want to control, this inflation cannot be controlled.

S. Mahendra Dev: The basic problem is food inflation. Therefore, improving supply side is important. Increase in MSP in rice and wheat has been responsible for part of the increase in food inflation. But basically imbalances between supply and demand in fruits, vegetables, pulses, sugar, milk are responsible for the increase in food inflation. Increase in public expenditure in rural areas, loan waivers, higher MSP, etc improved purchasing power in rural areas and increased demand for these commodities.

Debroy: We are talking about food price inflation, that is why it is a political issue. I don't think it is a seasonal factor because it has been happening over a period of time. We don't have a plausible answer as to why it is happening in the statistical sense, but I will give you my sense of what seems to me plausible, which is that because of the hikes in procurement prices that have been mentioned, because of farmers' debt relief and also the NREGA there is increased income in rural areas. There is increased consumption of food items in rural areas. And with a supply curve that is inelastic it has simply meant less food is now available in urban areas. So to solve that problem you don't need monetary policy; what you need to do is introduce the kinds of reforms that we have been talking about for 18 years in the agricultural sector, in the rural sector.

Goyal: The political issue here is that the Government is very sensitive about the inflation and if they don't understand, you

know, there is just a misunderstanding that prices are linked to the money supply.

Suman K. Bery: Firstly, price formation at any time is both about spot supply and demand and also about expectations. And expectations have had an important role to play in the global economy because there is a sense that the global supply curve of food-grains, in particular, has been rising. Secondly, there is a lack of transparency on how we manage food stocks and hence even the private sector is hesitant to import and enter the market which would help manage the prices. Prabhu's insight would be very helpful in understanding if the attempt to redress the terms of trade in favour of farmers has helped the political business cycle. And the final point is whether there is a right monetary policy for supply side shocks.

Kumar: It requires structural reforms which are critical but have been delaying. It has been proved that investment in the retail supply chain helps both the producer group, the farmers and the consumers. We must allow investment in retail and fix the problem of the supply chain.

Debroy: There are some fragmented figures about fruits and vegetables and less about grains on what the farmer is getting post-price rise. What is noticeable is that while farmers' receipts have risen by 10 to 15 per cent, the prices at the consumer's end have shot up several fold. So the distribution chain problem needs urgent reform.

IS IT FOOD INFLATION ONLY?

Should the Government force monetary tightening?

Chawla: What we want you to commit on is: can we call this inflation agri-inflation and should our political leadership push monetary intervention which is detrimental to the growth of other sectors?

Ranade: The inflation is primarily from agriculture but also increasingly from commodities. Yes, there should be a monetary response.

Goyal: Yes, this is food price inflation and the type of monetary response is important. A mild, phased and nuanced response in appreciation of interest rates is required.

Roy: The inflationary expectation has to be anchored, there is no doubt on that count; but this really is not the time to do anything on the interest rates.